to social, cultural, political, religious realms. They are basically subjective in nature.

In short, positive science is concerned with *'how? and why?'* and normative science with *'what ought to be'*. The distinction between the two can be explained. An increase in the rate of interest, under positive science, would be looked into as to why and how can it be reduced, whereas under normative science, it would be seen as to whether it is good or bad.

Three statements about each type are given below:

Positive Economics

a. An increase in money supply implies a price-rise in an economy.

b. As the irrigation facilities and application of chemical fertilizers expand, the production of food-grains increases.

c. An increase in the birth rate and a decrease in the death rate reflect the rate of growth of population.

Normative Economics

a. Inflation is better than deflation.

b. More production of luxury goods is not good for a less-developed country.

c. Inequalities in the distribution of wealth and incomes should be reduced.

1.5 Basic Concepts in Economics

Like other sciences, Economics also has concepts to explain its theories. A complete and clear grasp of their meaning is necessary when the theories associated with them are studied. Only a preliminary acquaintance is now attempted here.

1.5.1 Goods and Services

Both goods and services satisfy human wants. In Economics, the term 'goods' implies the term 'services' also, unless specified otherwise.



Goods (also called 'products', 'commodities', 'things' etc)

a. as material things, they are tangible;

b. have physical dimensions, i.e., their physical attributes can be preserved over time;

c. exist independently of their owner;

d. are owned by some persons;

e. are transferable;

f. have value-in exchange;

Kinds of Goods (and Services)

a. Free and Economic goods

Free goods are available in nature and in abundance. Man does not need to incur any expenditure to own or use them. For example air, and sun shine. Water was also an example in the past, but at present it has exchange value. So it is not a free good.

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